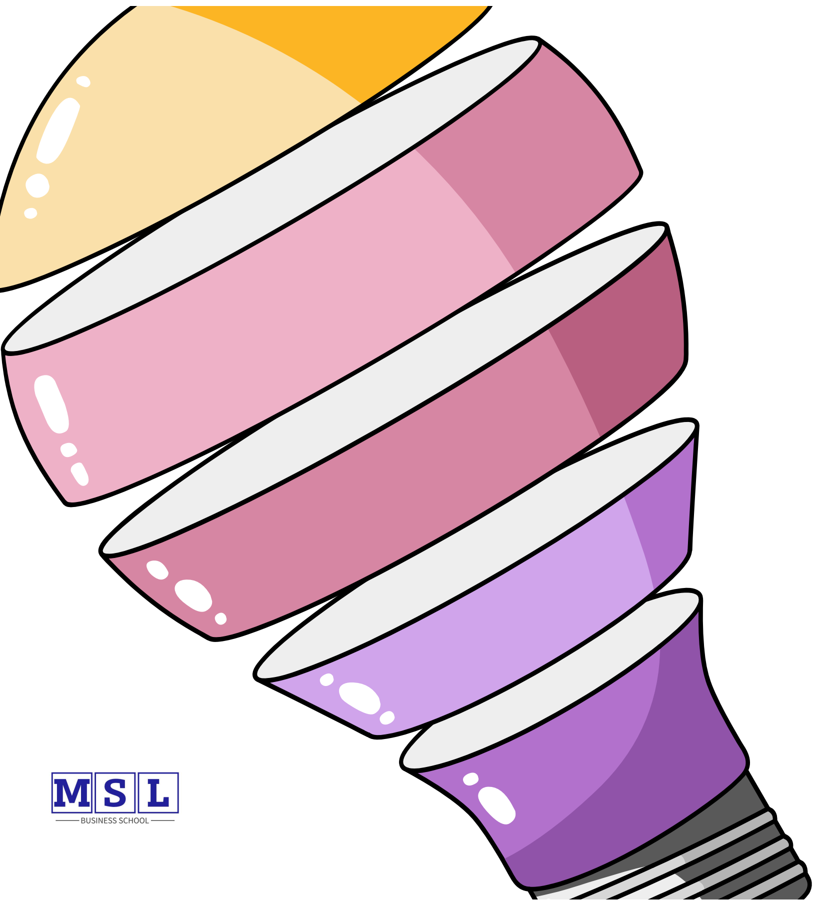

Withholding Tax Administration

(10 marks)

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The ICAG Principles of Taxation Paper

5 Questions - Answer ALL questions

Ghanaian Tax System & Fiscal Policy (10 marks)	Basics of Taxation, GRA Structure, Monetary Policy, Fiscal Policy, Public Debt, Grants & Local Government
Tax Administration (10 marks)	Assessments, Filing Returns, General Compliance, Penalties, Interest, Objection, Dispute Resolution, Refunds
Income Tax Liabilities (15 marks)	Individual and Partnership Income Tax (incl Capital Allowances), Employment, Business, Investment Income, Gift Tax, Social Security & Pension Funds
Corporate Tax Liabilities (15 marks)	Company Income Tax, All concepts under Chargeable Income determination
Taxation of Capital Gains (10 marks)	Taxation of Gains and Losses on realisation (including shares and securities)
VAT, Customs & Excise Duty (15 marks)	Scope, Registration, Computation of VAT, Compliance, Customs Duties, Duty Drawback, Warehousing, Excise Duties
Withholding Tax Admin (10 marks)	WHT on Goods, Works, Services, Investments, WHT Exemptions, WHT Credit Certificates, Withholding VAT, Compliance Requirements
Information Tech in Taxation (10 marks)	Impact of IT on Tax, Electronic Tax Accounts, E-Invoicing, Data Analytics, Automation, AI
Ethical Issues in Taxation (5 marks)	Ethical Dilemmas, Money Laundering, Professional Scepticism and Judgement

FINAL WITHHOLDING vs WITHHOLDING ON ACCOUNT

Final Withholding Tax

Final withholding tax is a tax deducted at source that represents the taxpayer's full and final tax liability on the income. When this tax is withheld, the taxpayer has no further obligation to pay additional taxes on that income, and the taxpayer is not required to file a return related to that income. The amount withheld is the exact amount due, and the taxpayer is not entitled to any further deductions or credits against this income.

Example: If a company withholds 8% when paying the dividend to a shareholder who owns, say 0.1% of the company's shares, this is a final withholding tax, and the shareholder has no further tax obligations related to that dividend income. The 8% withheld is considered their full tax liability for this particular dividend income received.

Withholding on Account

Withholding on account is a tax deducted at source that acts as an advance payment of the taxpayer's overall tax liability. This amount is credited against the taxpayer's final tax liability for the year. The taxpayer must still file a tax return, and the total tax due will be calculated.

Example: If a company withholds 3% from a resident supplier's supply of goods as withholding on account, the supplier must still file an annual tax return including this amount. The 3% withheld is credited against the supplier's total tax liability for the year.

Let's revise the WHT rates - Resident Persons

Visit taxlawgh.com/ghanataxrates for all tax rates

Withholding Description	Rate
Dividends	8%
Interest (excluding individuals and resident financial institutions)	8%
Rent on properties • Residential • Non-Residential	 8% 15%
Natural resource payments and royalties	15%
Fees or allowances, to a resident director, manager, trustee or board member of a company or trust	20%
Fees for examiners, invigilators, supervisors of examination, or part time teaching or lecturing	10%
Endorsement fee	10%
~~Winnings from Lottery~~	~~10%~~
Realisation of asset or liability	3%

Let's revise the WHT rates - Resident Persons

Visit taxlawgh.com/ghanataxrates for all tax rates

Commission to a resident lotto receiver or agent	10%
Commission to a sales agent	10%
Commission to a resident insurance sales or canvassing agent	10%
Insurance premium with a source in Ghana to a non-resident person	5%
Supply or use of goods exceeding GH₵ 2,000 per annum	3%
Supply of any works exceeding GH₵ 2,000 per annum	5%
Supply of services by an entity exceeding GH₵ 2,000 per annum	7.5%
~~Payment for unprocessed precious minerals~~	~~1.5%~~
Payment to petroleum subcontractor	7.5%

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Let's revise the WHT rates - Non Resident Persons

Visit taxlawgh.com/ghanataxrates for all tax rates

Withholding Description	Rate
Income of non-resident individual from employment	25%
Management, consulting and technical service fee	20%
Dividend	8%
Royalties, natural resources payments and rents	15%
Endorsement Fees	20%
Repatriated Branch after tax profits	8%
Interest Income	8%
Realisation of asset or liability	10%

Let's revise the WHT rates - Non Resident Persons

Visit taxlawgh.com/ghanataxrates for all tax rates

General insurance premium	5%
Petroleum sub-contractor	15%
Supply of goods, or works or the supply of any services where the contract gives rise to income from Ghana	20%
Payments received by a person who conducts a relevant transport business	15%
Payments received by a person who conducts a business of transmitting or receiving messages by cable, radio, optical fibre or satellite or electronic communication	15%

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Withholding by Employer - S.114
What is commonly referred to as PAYE

An employer shall withhold tax from the payment of an amount to be included in ascertaining the income of an employee from the employment.

The obligation of an employer to withhold tax above is not reduced or extinguished because

- the employer has a right or is under an obligation to deduct and withhold any other amount from the payment; or
- any other law provides that the income of an employee from employment shall not be reduced or subject to attachment.

Withholding from Investment Returns - S.115

Subject to the below conditions, a resident person shall withhold tax at the specified rates where that person pays

A. any dividend, winnings from lottery, interest, natural resource payment, rent or royalty to another person; or
B. consideration to another person in respect of the realisation of an asset or a liability

and the payment has a source in the country.

The above does **not** apply to

- payments subject to withholding by employer;
- payments made by an individual, unless made in conducting a business;
- interest paid to a resident financial institution; or
- a payment that is an exempt amount.

Withholding from Supply of Goods, Service Fees and Contract Payments - S.116

Subject to the below, a resident person shall withhold tax at the rate provided for where that person pays a service fee with a source in the country to a resident individual

- as fees or allowances, to a resident director, manager, trustee or board member of a company or trust;
- for examining, invigilating, supervising an examination, or part time teaching or lecturing;
- as an endorsement fee;
- as a commission to a resident lotto receiver or agent;
- as a commission to a sales agent;
- as a commission to a resident insurance sales or canvassing agent;
- for any other supply of services; or
- for any other matter prescribed by Regulations; or

- a resident person shall withhold tax where that person pays a service fee or an insurance premium with a source in the country to a non-resident person.

Withholding from Consideration on Realisation of Assets & Liabilities - S.116A

Where a resident person, other than an individual pays consideration to another person with respect to the realisation of an asset or a liability which does not fall under Section 115 (withholding from investment returns), the resident person shall withhold tax on the gross amount of the payment at the below rates:

- Resident Person: 3%
- Non-Resident Person: 10%

Note: The withholding rate is applied on the consideration received

Key Definitions

Goods: Goods means objects of every kind and description including raw materials, products and equipment and objects in solid, liquid or gaseous form, and electricity, as well as services incidental to the supply of the goods if the value of those incidental services do not exceed the value of the goods themselves;

"Goods" includes movable tangible property, thermal and electrical energy, heating, gas refrigeration, air conditioning, and water, but does not include money.

Works: Works is defined to include work associated with the construction, reconstruction, demolition, repair or renovation of a building, structure or surface and includes site preparation, excavation, erection including erection of mast for Telecommunication business, assembly, installation of plant, fixing of equipment and laying out of materials, decoration and finishing, and any incidental activity under a procurement contract.

In this context excavation relates to removal of earth, cutting, digging and scooping during constructional works.

Services: Service means the furnishing of labour, time, or effort not involving the delivery of a specific end product other than reports, which are merely incidental to the required performance; and includes consulting, professional and technical services but does not include employment agreements or collective bargaining agreements.

Reference & Further Reading

GRA Practice Note on Withholding Tax - DT / 2016 / 001

Withholding from Supply of Goods, Service Fees and Contract Payments - S.116

A *resident person*, other than an individual, shall withhold tax on the gross amount of the payment at the rate specified when the person makes a payment to another resident person who does not fall within any of the above payments or under withholding by an employer for

- the supply or use of goods,
- the supply of any works, or
- the supply of services,

in respect of a contract between the payee and the resident person.

Threshold

- The above applies to a contract between the payee and a resident person, where the amount of the contract exceeds **GHS 2,000**.
- For the purpose of determining whether a contract qualifies for the GHS 2,000 threshold above, two or more contracts in respect of the same goods, works or services shall, be treated as a *single contract*.

Withholding from Supply of Goods, Service Fees and Contract Payments (Exemptions) - S.116

Exemption

The requirement to withhold on goods, works or services does not apply

- to a *premium* paid to a *resident insurance company*;
- to payments under a contract for the *sale of goods* which constitute *trading stock of both the vendor and the purchaser*;
- where the Commissioner-General,
  - for a good cause shown, exempts in writing a person from deducting tax in respect of an institution or a specific contract entered into by an institution upon an application made by the institution; or
  - is satisfied that a person has a satisfactory tax record and exempts in writing that person from the application of that subsection or exempts specific contracts entered into by that person from that application.

Note

A person who is granted an exemption above relating to trading stocks of both vendor and purchaser shall, at the end of *every calendar quarter*, submit a list of particulars of all payments which would have had to be withheld on but for the exemption.

Taxation of Shareholders - s.59(3)

Another example of Withholding Tax Exemption (specific to Dividends)

- Subject to the *exception below*, a resident company which pays a dividend to a shareholder shall **withhold tax** on the amount of the dividend.

Exception: A dividend paid to a *resident company* by *another resident company* is **exempt** from tax where the company that received the dividend controls indirectly or directly, at least **25%** of the **voting power** of the company which paid the dividend.

The above exception **does not** apply to

- a dividend paid to a company by virtue of its ownership of *redeemable shares* in the company that paid the dividend ; or
- a dividend that is the result of *recharacterisation* under sections 31(5) [Arm’s length standard and arrangements between associates] and 32(2) [Income Splitting].

Taxation of Shareholders - s.71 & s.85

Another example of Withholding Tax Exemption (specific to Dividends)

The dividend exemption **does not apply also to** a dividend paid by a company that

- conducts petroleum operations or that has conducted *petroleum operations*; or
- is a partner in a partnership that conducts petroleum operations or that has conducted petroleum operations.

- is a resident company that conducts or that has conducted a *mineral operation*, or
- is a resident company that is a partner in a partnership that conducts or that has conducted a mineral operation

Withholding from Supply of Goods, Service Fees and Contract Payments - S.116

Subject to the below, the Minister may by legislative instrument, make Regulations to prescribe

- that a resident person shall withhold tax when the person makes a payment to a non-resident person of a type referred to in section 105 (g) or (h) in respect of land, sea or air transport or telecommunications services (S. 105 – Payments sourced from the country); and
- the rate at which the tax referred to above shall be withheld.

All the above do not apply to

- a payment subject to withholding by an employer (under section 114); or
- a payment that is an exempt amount.

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Withholding from Supply of Goods, Service Fees and Contract Payments - S.116

A resident person shall withhold tax at the rate specified when the person makes a payment to a non-resident person for the rendering of *management and technical services*.

A resident person shall withhold tax at the rate specified from a payment made under a contract with a non- resident person for

- the supply of goods or works, or
- the supply of any services

where the contract gives rise to income from the country.

Withholding from Supply of Goods, Service Fees and Contract Payments - S.116

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Key Compliance (Notification) Requirement

Where the above requirement relating to contracts for goods, works or services with a *non-resident person* applies, the resident person shall **within 30 days** of the date of entering into the contract, give notice to the Commissioner-General in writing of

- the nature of the contract;
- the likely duration of the contract;
- the name and postal address of the non-resident person to whom payments under the contract are to be made; and
- the total sum estimated to be payable under the contract to the non-resident person.

The above requirement relating to contracts for goods, works or services with a non-resident person does not apply to other payments which are subject to final withholding tax applicable to non-residents under the Income Tax Act.

Tax Compliance - Statement and Payment of Tax Withheld or Treated as Withheld - S.117

Tax Payment Requirement

- A withholding agent shall **pay** to the Commissioner-General within **15 days** after the end of each calendar month a tax that has been withheld in accordance with the Income Tax Act during the month.

Tax Return Filing Requirement

- A withholding agent shall **file** with the Commissioner- General within **15 days** after the end of each calendar month a statement in the form prescribed, specifying
  - payments made by the agent during the period that are subject to withholding under the Income Tax Act;
  - the name, address and tax identification number of the withholdee;
  - tax withheld from each payment; and
  - any other information that the Commissioner-General may prescribe.

Note: A withholding agent who fails to withhold tax in accordance with the Income Tax Act shall pay the tax that should have been withheld in the same manner and at the same time as tax that is withheld.

Tax Compliance - Statement and Payment of Tax Withheld or Treated as Withheld - S.117

A withholding agent who withholds tax under the Income Tax Act and pays the tax to the Commissioner-General is treated as having paid the amount withheld to the withholdee for the purposes of any claim by the withholdee for payment of the amount withheld.

A withholding agent who fails to withhold tax under the Income Tax Act but pays the tax that should have been withheld to the Commissioner-General in accordance with the above provisions is entitled to recover an equal amount from the withholdee.

Subject to this Act and except where an agreement is ratified by Parliament a provision in an agreement which prohibits the deduction or withholding of a tax required to be deducted or withheld under the Income Tax Act or any other enactment administered by the Commissioner-General is void.

Tax Compliance - Withholding Certificate - S.118

- A withholding agent shall prepare and serve on a withholdee a withholding certificate, in the prescribed form,
  - separately for each period referred to below; and
  - at the time specified below.

A withholding certificate shall specify

- the amount of payments made to the withholdee during the period; and
- the tax withheld by the withholding agent from the payments under the Income Tax Act.

Tax Compliance - Withholding Certificate - S.118

Subject to the below exception (for employers), a withholding certificate shall cover a calendar month and shall be served on the withholdee **within 30 days** after the end of the month.

Where a tax is withheld under withholding by employer (section 114), a withholding certificate

- shall cover the part of the calendar year during which the employee is employed; and
- shall be served on the employee by the **30th of January** after the end of the year or, where the *employee has ceased employment* with the withholding agent during the year, not more than **30 days** from the date on which the employment ceased.

Final Withholding Payment - S.119

For the purposes of the Income Tax Act, the following are **final withholding payments**:

- dividends paid by a resident company;
- rent paid to a resident individual under a lease of land or a building, with or without associated fittings and fixtures, situate in the country, other than rent received by an individual in conducting a business, sale or letting;
- rent other than rent received in conducting a business of sale or letting, paid to a person other than an individual under a lease of land or a building situate in Ghana, with or without associated fittings and fixtures;
- payments made to non-resident persons that are subject to withholding under the Income Tax Act or would be subject to withholding if sections 115(2)(b) - *payments made by an individual, unless made in conducting a business* and 116(8)(b) - *a payment that is an exempt amount* were ignored, other than payments derived through a Ghanaian permanent establishment.
- payments made to a person under section 116 (1)(a)(ii) - *for examining, invigilating, supervising an examination, or part time teaching or lecturing*
- payments made to a person under section 116 (1)(a)(iii) - *as an endorsement fee*
- ~~winnings from lottery~~

Final Withholding Payment - S.119

The following satisfy the tax liability of a withholdee under section 1(1)(b) – *remember Imposition of Tax for final withholding tax*?:

- tax withheld from a final withholding payment under the Income Tax Act; and
- tax paid with respect to a final withholding payment in accordance with section 117(3) - *A withholding agent who fails to withhold tax in accordance with this Division shall pay the tax that should have been withheld in the same manner and at the same time as tax that is withheld.*

Where a final payment is not subject to withholding, by reason of the fact that the payer is a non-resident, the tax liability of the recipient under section 1(1)(b) with respect to the payment is payable by way of instalment and assessment.

For the purposes of applying Divisions III (Tax payable by instalment) and IV (Tax payable on assessment), the liability is treated as a liability under section 1(1)(a).

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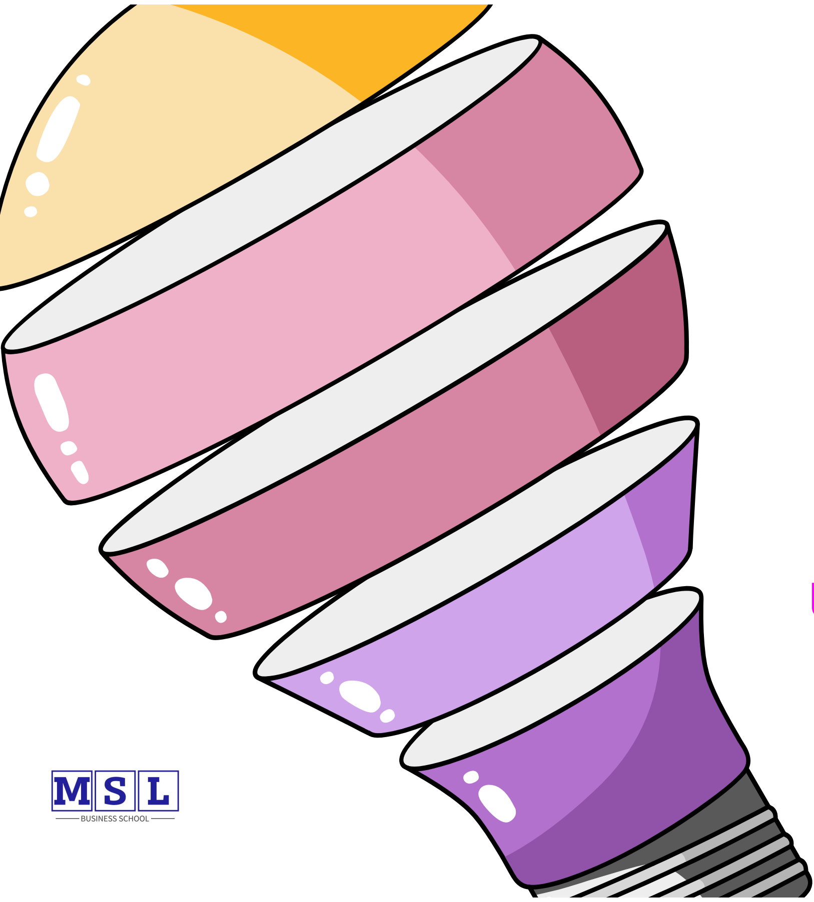
Credit For Non-Final Withholding Tax

A withholdee of a payment which is **not** a final withholding payment is treated as having paid the tax

- withheld from the payment under the Income Tax Act; or
- with respect to a payment in accordance with section 117(3) - *A withholding agent who fails to withhold tax in accordance with this Division shall pay the tax that should have been withheld in the same manner and at the same time as tax that is withheld.*

A withholdee is entitled to a **tax credit** in an amount equal to the tax treated as paid above for the year of assessment in which the payment is derived.



Withholding VAT

To be discussed into details under the main VAT discussion

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APPOINTMENT OF VALUE ADDED TAX WITHHOLDING AGENT

Appointment of VAT Withholding Agent

The Commissioner-General may *in writing* **appoint** a VAT Withholding Agent for the Authority

Reference & Further Reading

Section 47A of Act 870

DUTIES OF A VALUE ADDED TAX WITHHOLDING AGENT

Duties of a VAT Withholding Agent

A VAT Withholding Agent shall

- *withhold* from the payment to a registered VAT trader, **7%** of the taxable output value of *standard rated supplies*; and
- at the time of making payment for the standard rated supplies, issue a *Withholding VAT Credit Certificate* in the form prescribed by the Commissioner-General to the supplier.

Reference & Further Reading

Section 47B of Act 870

VALUE (BASE) FOR WITHHOLDING VAT

Value (Base) for Withholding VAT

Item	in GHS
Invoice Value	100
NHIL @ 2.5%	2.50
GETFund Levy @2.5%	2.50
COVID-19 HR Levy @ 1%	1.00
Taxable Value for VAT	**106**
VAT @ 15%	15.90
Total Tax	21.90

Reference & Further Reading

Section 47B of Act 870

SCOPE OF VALUE ADDED TAX WITHHOLDING AGENT

Scope of VAT Withholding Agent

The scope of a VAT Withholding Agent shall include

- Value Added Tax registered entities whose supplies are zero-rated; and
- selected Government and other VAT registered entities.

Reference & Further Reading

Section 47C of Act 870